

Digital Transformation & AI-Induced Change

Module 8 — Business AI in Practice · Notebook 28

Prof. Dr. Christoph Weisser

HSBI

Summer Semester 2026

Contents

1 Why now

2 Tasks

3 Maturity

4 Strategies

5 Pitfalls

6 People

Outline

1 Why now

2 Tasks

3 Maturity

4 Strategies

5 Pitfalls

6 People

Why AI feels different *this* time

Three things changed

- **The marginal cost of intelligence dropped sharply.** A useful LLM call costs cents, takes seconds, and needs no in-house ML team.
- **The interface is natural language.** Anyone on staff can prototype an AI workflow — an organisational change, not just a technical one.
- **One model handles many tasks.** Not a churn predictor here and a fraud detector there — one foundation model, many jobs.

Mental model

Earlier AI waves added *specific* capability at high fixed cost. This wave adds *general* capability at near-zero marginal cost.

Outline

1 Why now

2 Tasks

3 Maturity

4 Strategies

5 Pitfalls

6 People

The unit of change: tasks, not jobs

- A job is a *bundle of tasks*. AI absorbs *tasks*, rarely whole jobs.
- Enumerate the tasks; score each by *how patternable* $\times$ *how high-stakes*; start in the high-pattern / low-stakes corner.

Reframe the stakeholder question

“Will AI replace these 12 people?” $\rightarrow$ “Which of their *tasks* will AI absorb, and what do the people do with the freed-up time?”

Outline

- 1 Why now
- 2 Tasks
- 3 Maturity**
- 4 Strategies
- 5 Pitfalls
- 6 People

The five-stage AI maturity model

#	Stage	Signature behaviour
0	Unaware	Not in the strategy; staff quietly use Chat-GPT on their phones.
1	Experimenting	A few pilots in a sandbox; results stay in slides.
2	Operationalising	One or two features live in production, owned by a real team.
3	Industrialising	A platform team; reusable infra; a new feature ships in weeks.
4	AI-native	AI is in the <i>process design</i> , not bolted on.

Most organisations sit between 1 and 2. The model tells you the *next realistic step* — not the destination.

Outline

- 1 Why now
- 2 Tasks
- 3 Maturity
- 4 Strategies**
- 5 Pitfalls
- 6 People

Three change strategies

Substitution / Augmentation / Reinvention

- **Substitution** — AI does the task *instead of* a human.
- **Augmentation** — AI assists; a human stays in the loop and decides.
- **Reinvention** — redesign the process around what AI makes newly cheap.

Intuition

Most real projects are **augmentation** in year one, and drift toward **substitution** for the well-understood tasks as trust grows.

Outline

- 1 Why now
- 2 Tasks
- 3 Maturity
- 4 Strategies
- 5 Pitfalls**
- 6 People

The most common adoption pitfalls

- ❶ **Solutionism** — automating a process that is broken to begin with (a faster mess).
- ❷ **Pilot purgatory** — endless demos; nothing reaches production.
- ❸ **No monitoring** — 92 % accurate at launch; nobody knows six months later.
- ❹ **No change management** — the tool works; nobody adopts it.
- ❺ **Governance as an afterthought** — ethics / safety bolted on at the very end.

Outline

1 Why now

2 Tasks

3 Maturity

4 Strategies

5 Pitfalls

6 People

The human side

- Job descriptions, skill mix, and team shape begin changing the *day you ship* — not later.
- Frame the change as augmentation, and give people a one-click override.

The cheapest trust intervention

Publish the AI's **confidence score** next to every output it produces. Users quickly learn when to trust it and when to double-check.

Companion notebook

This is the conceptual half of the lecture

The hands-on judgement — task inventories, placing an organisation on the maturity model, the pre-mortem, the strategy-map 2×2 — lives in **Notebook 28**, with worked solutions.

- Prerequisite-free; the course's *spiral* recommends it as an early read (the “why”).
- Then continue to **Notebook 29 — Architecture Patterns**.